

Autonomous Trucking in India: Go-to-Market Strategy & Business Model

Deepgrid Semi Pvt Ltd · CIN U62099TS2024PTC183631 · T-Hub Phase 2, Hyderabad ·
aravind@deepgridsemi.com

Aravind Prasad G · Founder & CEO

Companion document: BP-1B — United States Market Entry

STRICTLY CONFIDENTIAL — INVESTOR / BOARD CIRCULATION ONLY

₹2.3L Kit price vs ₹6.5–15L imports	5M+ N2/N3 trucks mandated	₹914 Cr FY32 ADAS revenue, of ₹1,388 Cr total	₹1.01 Cr Defence revenue contracted
---	---	---	---

CONTENTS

0	How to read this document	2
1	Executive summary	3
2	Market and why now	4
3	Customer and use cases	5
4	Product ladder	7
5	Business model and unit economics	10
6	Go-to-market and channel	13
7	Competition and moat	23

8	Financial plan FY27–FY32	25
9	Funding and milestones	29
10	Risks and mitigations	34
11	KPIs and what we will not do	37
S	Sources	39
A	Appendix — figure pack	39

0 How to read this document

This plan separates four kinds of statement and labels them everywhere they appear, so a diligence read never has to guess which claims are load-bearing.

CLASS	MEANING	EXAMPLE IN THIS DOCUMENT
 MEASURED	Board/silicon-timed fact, from DeepGrid's own hardware	40 fps YOLOv11n on Artix-7; 0.947 sim-to-silicon
 CONTRACTED	Signed, invoiced revenue	₹1.01 Cr GeM defence contracts
 PLAN	Company projection or stated target, not yet measured	₹2.50L kit ASP; FY32 ADAS ₹914 Cr; 38.7% EBITDA
 ASSUMPTION	Arithmetic or inference not directly stated in source material	72% ASIC-phase kit GM; ~49,000 FY32 kits
 EXTERNAL	General industry knowledge, not DeepGrid's own material	Aurora / Gatik / Kodiak business-model sketches, §6

A number with no label is a plain fact — a date, an entity name, a contract number. Every diagram in this document is **illustrative**: a shape drawn against a stated or assumed target, not measured data, and says so on its face.

1 Executive summary

Revision note. This version incorporates a second adversarial review focused on distribution. Net effect: the addressable market is narrowed to the *organised* segment (§3) because 75–80% of Indian operators own fewer than five trucks ● SOURCED; a channel architecture and a stripped compliance SKU are added (§6); the low-end competitor at ₹4,500–11,000 is named in §7; ASP erosion is flagged against the flat-price assumption in §8; and two risks (11, 12) are added. The FY32 trajectory is unchanged as a target, but it now depends explicitly on OEM line-fit and channel rather than on direct sales into the 5M base.

This is the **India plan**, and it is the funded one. A companion document, **BP-1B**, covers United States market entry — a different buyer, a different trigger and a different product posture, owned by an incoming co-founder and carrying no revenue forecast. Nothing in this document depends on that one.

This document contains **two plans, not one**. Part A is India: funded, dated, and driven by a compliance mandate. Part B is the United States: a different buyer, a different trigger and a different product posture, owned by an incoming co-founder and deliberately carrying **no revenue forecast** until a first partner conversation closes. Part C is what they share — one raise, one tapeout, one risk register.

Revision note. This version incorporates a five-perspective adversarial review (practitioner, academic, skeptic, economist, historian). Net effect: OEM/Tier-1 line-fit is demoted from a committed 9–18-month milestone to opportunistic upside (§6); government/defence and insurer-co-funded retrofit are promoted to the primary near-term revenue engine because neither depends on the certification, tapeout, or an OEM relationship DeepGrid does not yet have; a field-support cost reserve (§5) and a tenth risk — incumbent fast-follow by Bosch/Continental, who already manufacture in India (§7, §10) — have been added. The fast-case financial trajectory in §8 is unchanged as a target; it should not be read as the funded base case.

Executive summary. DeepGrid Semi sells the certification stamp, not the autonomy dream. MoRTH GSR 184(E), live April 2026, mandates certified ADAS on every new N2/N3 commercial truck sold in India — a regulatory demand floor across a 5M+ truck base. The AD2 kit prices at ₹2.3L (₹2–2.5L band) ● PLAN against imports at ₹6.5L (Mobileye EyeQ6) to ₹15L (Nvidia Orin) — a ~2.8–6.5× gap ● ASSUMPTION ARITHMETIC. Owning the compute (28nm die, packaged part ₹1,750 ● PLAN) lets us hold that price while gross margin expands from 45% (FPGA phase, FY27) to ~72% in the ASIC phase.

Three stacked motions run on one hardware platform: **(1)** fleet retrofit kits now — no regulatory gate, revenue from day one; **(2)** OEM/Tier-1 line-fit for the mandate channel — the volume engine, entered after AIS-162/188 certification; **(3)** private-land driverless at ports, mines and plant yards — sold as per-vehicle-per-month software at 90%+ gross margin. The first retrofit customers are plant operators with private yards: one logo carries the kit sale, the data flywheel, and the future driverless contract.

Primary planning numbers, from the working model (Business Plan v2.2): **ADAS segment revenue ₹914 Cr at FY32** inside a company total of **₹1,388 Cr**, with EBITDA breakeven in **FY2028**. Traction today: ₹1.01 Cr defence revenue ● CONTRACTED; AD0-class perception proven on FPGA (40 fps YOLOv11n ● MEASURED).

2 India: market and why now

The mandate is the market. GSR 184(E) makes ADAS a compliance requirement rather than a discretionary safety upgrade. Regulation, not persuasion, generates the demand:

MARKET FACT	VALUE	EVIDENCE
Mandated N2/N3 truck base	5M+	● PLAN — a base, not annual sales
ADAS penetration across Indian vehicles today	<5%	● PLAN
Road deaths per year, India	1.68 lakh	● PLAN

MARKET FACT	VALUE	EVIDENCE
— of which ADAS-addressable	60%+	● PLAN
Kits required to hit the FY32 plan	~49,000	● ASSUMPTION arithmetic
— as a share of the mandated base	<1%	● ASSUMPTION — no heroic share required
Annual N2/N3 sales volume	<i>not in source material</i>	share-of-annual-sales cannot be computed

Why now:

- OEM design-in awards triggered by the mandate are assumed decided over the next 12–24 months ● WINDOW LENGTH NOT IN GROUNDING .
- Atmanirbhar and defence procurement rules exclude foreign silicon from government fleets.
- The 28nm ASIC tapes out ~Q1–mid 2027 ● PLAN , collapsing compute COGS ₹65K → ₹1,750 ● PLAN; RECONCILED IN S5 exactly as line-fit volume arrives.

Honest distinction. The mandate covers *new truck sales only* — OEM fitment, not fleet retrofits. Retrofit is our self-funded bridge *to* the mandate channel, not the mandate itself.

A live mandate with no certified supplier. Mandate in force since April 2026, <5% penetration, our certification a path not a held cert (§10 risk 1), imports not yet AIS-certified ● ASSUMPTION, §7 : these cannot all hold under full enforcement while new trucks keep selling. The only consistent reading is that enforcement is transitional or phased today ● NOT IN GROUNDING . Consequence: near-term mandate demand is *design-in*, not shipped-kit, demand — hence FY27–28 revenue rests on retrofit and government lines, and hence the window: the first supplier certified at Indian prices takes the design-ins before enforcement bites.

3 India: Customer and use cases

Customer 1 — light-fleet (5t) retrofit operators (now → 9 months, Phase 1). Buyer: the fleet owner or GM-Operations owning the safety/insurance P&L — one signer, no committee. Use case: Smart Mirror Tower pod (3×8MP GMSL2 cameras + 4D 77GHz radar + thermal +

DMS + in-cab compute), installed in hours, driver in seat. Accounts run as 90-day pilots with operational acceptance criteria, converting to multi-year contracts with data-rights clauses.

The market structure this plan has to survive

An adversarial review of this document found that the buyer described above is real but describes a minority of the Indian market. The structure of Indian trucking is the single most important fact about our distribution problem, and it was previously absent from this plan:

MARKET-STRUCTURE FACT	VALUE	EVIDENCE
Trucks on Indian roads	12.5M	● SOURCED
Truck operators	3.5M	● SOURCED
Operators owning fewer than five trucks	75–80%	● SOURCED
Share of India's freight moved by sub-five-truck operators	85%	● SOURCED
Implied kits per month to hit the FY32 plan	4,000	arithmetic on §8 ● ASSUMPTION

What this does to the buyer definition above. “One signer, no committee” is accurate for an organised fleet and misleading as a description of the market. Most Indian trucks belong to operators with fewer than five vehicles, which means **the 5M+ mandated base is not a base we can sell into directly at any realistic cost of acquisition.** Two consequences this plan now adopts: our addressable segment is the *organised* market, defined below; and everything beyond it must be reached through a channel (§6), not a sales force.

The addressable segment, defined narrowly on purpose

SEGMENT	WHY IT IS ADDRESSABLE	DOES THE ₹2.3L PRICE HOLD?
OEM / Tier-1 line-fit	one commercial relationship covers thousands of vehicles	Yes — this is the volume engine
Large organised fleets (50+ trucks)	a real safety and insurance P&L, a single decision-maker, capacity to run a pilot	Yes
Government / PSU / defence fleets	procurement excludes foreign silicon; we already have a GeM record	Yes, at a modest premium
Plant and yard operators	own private land, own the vehicles, and become the Phase-3 customer	Yes

SEGMENT	WHY IT IS ADDRESSABLE	DOES THE ₹2.3L PRICE HOLD?
3PL and freight aggregators	aggregate thousands of small operators into one contract	Partly — they will negotiate hard
Sub-five-truck-owner-operators-direct	Not addressable directly. ~3.5M operators, no purchasing process, hard price anchor	No — needs a channel and a cheaper SKU (§6)

Customer 2 — government/PSU/defence fleets. Same kit; foreign silicon excluded (§2), so competition is Indian-only — none holds an AIS-validated chipset (company claim, §7). GeM defence contracts (₹1.01 Cr ● CONTRACTED : ₹23.01L delivered, ₹78.39L L1 under execution) establish procurement credibility. A modest premium to the ₹2.3L commercial price is sustainable here ● ASSUMPTION .

DEFENCE CONTRACT	VALUE	STATUS
GeM GEMC-511687794620175 · Robot Training Assistant	₹23.01L	delivered ● CONTRACTED
GeM RA GEM/2026/R/672471 · Robotics Assistant	₹78.39L	L1, under execution ● CONTRACTED
Total defence engagement	₹1.01 Cr	contracted; sits in Deepgrid Datacentre (§9)

Customer 3 — OEM/Tier-1 line-fit (9 → 18 months, Phase 2). OEM program management under mandate deadline pressure; the certified kit as line-fit compliance component at a fraction of the cheapest import (§1).

Customer 4 — private-land driverless sites (Phase 3). The Phase-1 retrofit buyer is the Phase-3 driverless customer — the one-logo ladder.

4 India: Product ladder

- DGS001 FPGA module** (bridge, shipping): 100-unit pipeline across the three plant-operator logos ● PLAN PIPELINE, NOT CONTRACTED ; funds data collection pre-ASIC.
- Smart Mirror Tower retrofit kit** (revenue now): sensor pod + in-cab compute at ₹2.3L ● PLAN ; AD0-class perception honestly scoped — 40 fps YOLOv11n, 24.25 ms attention head, 0.947 sim-to-silicon ● MEASURED .

3. **Certified AD2 line-fit kit** (the mandate product): same architecture, AIS-162/188 certified ● PLAN — A PATH, NOT YET HELD, sold to OEM/Tier-1 at the same price.
4. **ASIC swap-in** (~Q1–mid 2027 ● PLAN): compute module replaced by owned 28nm silicon — margin flip at held price; upgrade-in-place, no vendor change ever.
5. **Software attach + Phase-3 driverless**: T100 AI licensing, fleet DaaS, DMS-compliance reporting, insurer/UBI integration ● ASSUMPTION ON PRICING; then private-land driverless (L2+ supervised on Brogen 18t with Jiyu drive-by-wire, then geofenced-yard driverless) as per-vehicle-per-month contracts.

BUSINESS MODEL DIAGRAM

The Deployment Ladder

kit sale → mandate product → recurring layer

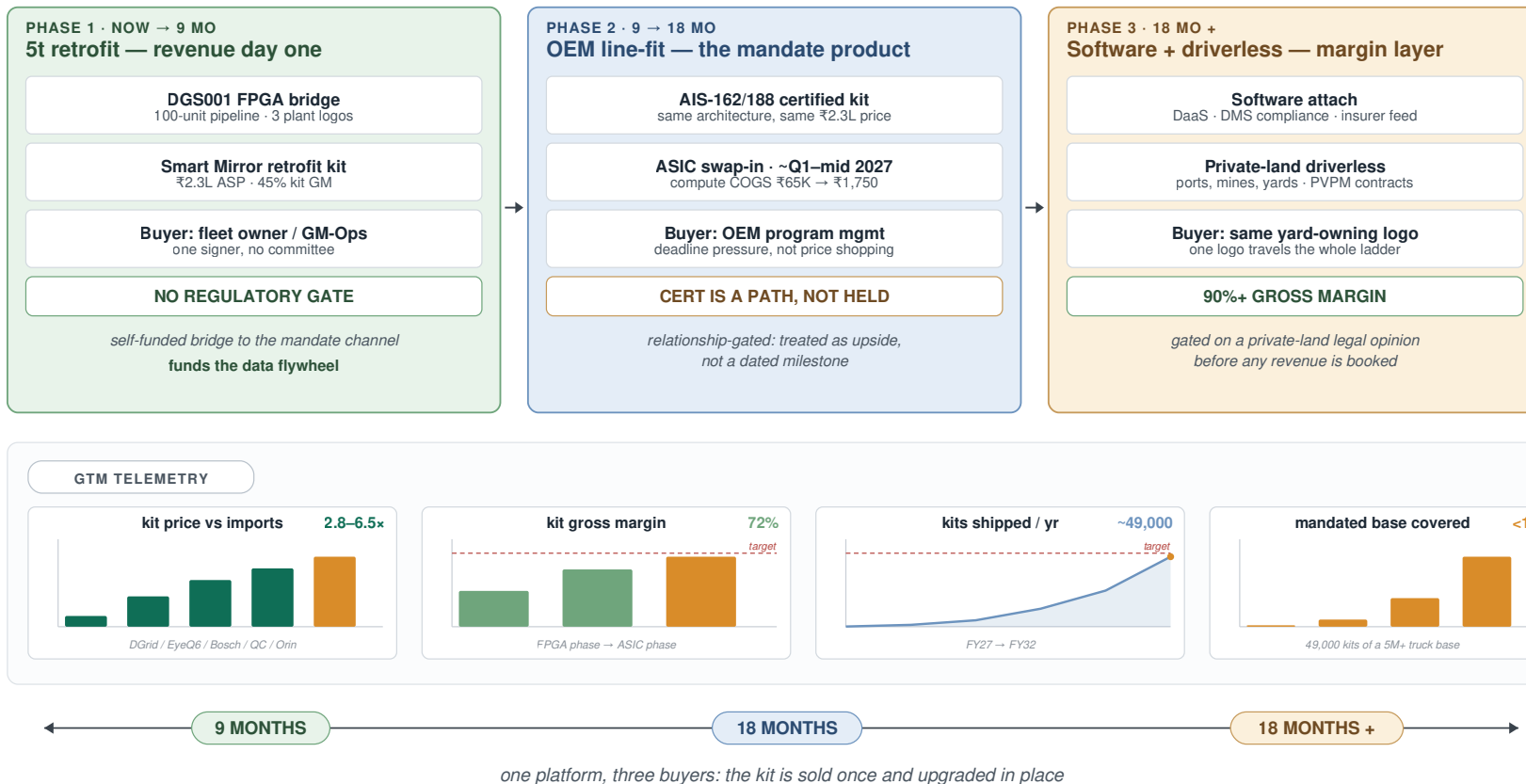


FIG 1

Fig. 1 — The deployment ladder. Three phases on one hardware platform: FPGA retrofit revenue funds data collection; certification converts the same kit into the mandate product; the ASIC swap and software/Phase-3 attach are the recurring margin layer. All four mini-panels are illustrative, drawn to the FY figures in §5/§8, not independently measured.

5 India: Business model and unit economics

Every figure below is per single kit. The question is not whether the kit is cheap — it is which cost line moves at tapeout, and by how much.

PER-KIT LINE	FPGA PHASE (FY27)	ASIC PHASE (POST-TAPEOUT)	EVIDENCE
Average selling price	₹2.30L	₹2.30L (held)	● PLAN
Compute module / owned die	₹65,000	₹1,750	● PLAN
Sensors, pod and installation	₹62,000	₹62,000	● ASSUMPTION residual
Total COGS	~₹1.27L	~₹64,000	● ASSUMPTION arithmetic
Gross profit per kit	~₹1.04L	~₹1.65L	● ASSUMPTION arithmetic
Kit gross margin	45%	72%	● PLAN / ● ASSUMPTION
Warranty reserve (inside COGS)	3–5% of ASP	3–5% of ASP	● ASSUMPTION
Service & support reserve (inside COGS)	5–8% of ASP/yr	5–8% of ASP/yr	● ASSUMPTION
Blended GM incl. software attach	—	88% aspiration only	● PLAN

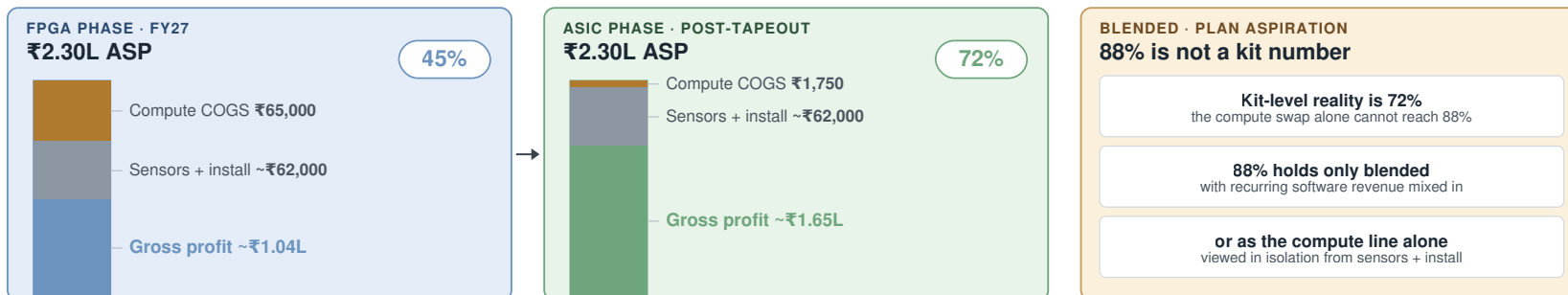
The company's **88%** figure holds only as a blended portfolio margin, or as the compute-module line viewed in isolation. This plan uses **72% at the kit level** in every downstream calculation (§8).

UNIT ECONOMICS DIAGRAM

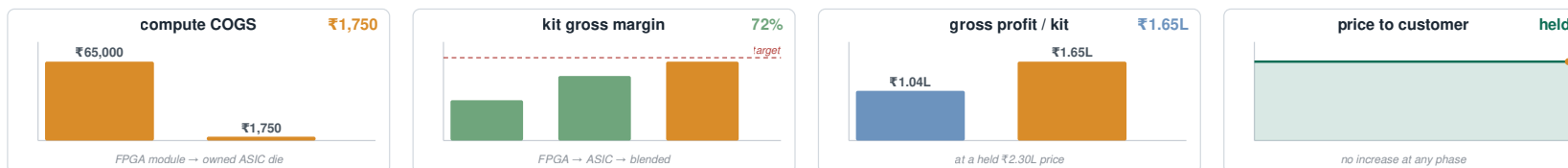
The Kit Cost Bridge, FPGA → ASIC

same ₹2.3L price, same architecture, different COGS floor

(a) Where the ₹2.30L goes



(b) What each phase actually changes



ARITHMETIC CHECK

Source material quotes both “<\$3–4/die at volume” and “₹1,750” for the same 28 nm part — a ~5× spread. Read as bare die vs. packaged and tested part.
This plan uses the conservative ₹1,750 in every margin calculation above.

FIG 2

Fig. 2 — The kit cost bridge. Same ASP, same architecture — the compute line alone moves gross margin from 45% to 72% at tapeout. The company's 88% figure is a blended or compute-line-only aspiration, not the reconciled kit-level number this plan uses for FY27–FY32 (§8).

Silicon cost, reconciled

Source material quotes two different numbers for the same 28 nm part. Both are carried here rather than silently picking one:

QUOTED FIGURE	VALUE	READING	USED IN THIS PLAN?
“<\$3–4 per die at volume”	≈₹250–333	bare, unpackaged die	No — too optimistic to underwrite
“₹1,750”	₹1,750	packaged and tested part	Yes — all margin math above
Implied FX rate	₹83.3 / \$	from ₹45 Cr ↔ \$5.4M (\$9)	● ASSUMPTION
Spread between the two	5×	unexplained in source material	flagged for diligence

Break-even and price-floor sensitivity

DRIVER	VALUE	CONSEQUENCE
Gross profit per kit, FPGA phase	₹1.04L	the unit that must cover opex
Assumed team opex	₹4–6 Cr/yr	● ASSUMPTION — not in source material
Kits per year to cover opex	400–600	the real break-even volume
FY27 planned kits	130	FY27 is loss-making by design, round-funded
Import price that ends the moat	₹2.50L	below this it is a knife-fight ● ASSUMPTION
Cost of one quarter of cert delay	1 design-in cycle	moves to an incumbent (\$10)

Recurring lines — all unproven until piloted

RECURRING LINE	PRICING BASIS	TARGET GM	LOAD-BEARING RISK
Base safety tier	per vehicle per year	90%+	commodity substitution
DMS-compliance reporting	per vehicle per year	90%+	audit-ready reports are the defence
Insurer / UBI data feed	revenue share	90%+	needs a signed insurer partner (\$6)
Phase-3 driverless	per-vehicle-per-month or per-move	—	remote-supervision ratio

RECURRING LINE	PRICING BASIS	TARGET GM	LOAD-BEARING RISK
Connectivity budget (COGS rule)	on-device inference; uplink events only	<1 GB/mo	patchy highway connectivity
ARPU downside case	Indian telematics commodity band	₹3–5k/yr	compresses the line 5–10×
Phase-3 margin cliff	supervision worse than 1:2	negative	contracts carry repricing ratchets

Phase-3 pricing is set against the customer’s fully-loaded three-shift manned cost, never cost-plus, with availability SLAs, minimum-move commitments and a site-onboarding charge covering deployment. All of it is ● ASSUMPTION until the first site runs.

Working capital. Partner hardware (Brogen, Jiyu) passes through at zero markup; OEM receivables and kit inventory are the largest unmodeled cash consumers ● ASSUMPTION, to be sized before the OEM channel scales.

Field-support cost — previously missing from this model. India’s AIS-140 GPS-tracking mandate (2018–19) saw a large share of installed devices tampered with or disconnected within a year once installers treated compliance as a one-time checkbox rather than an ongoing service relationship ● EXTERNAL REFERENCE. Day-30 uptime, not day-1 install cost, is what a fleet owner actually renews against. This plan adds an explicit **service/support reserve of ~5–8% of ASP per year** ● ASSUMPTION, NOT IN GROUNDING — nuisance-alert tuning per route and driver, tamper monitoring, and a field-repair SLA — inside the FPGA-phase 45% and ASIC-phase 72% GM figures above; it is not a separate margin cut, but it is real cash opex that the 90%+ software-GM claim (§5 above) has not previously accounted for and should not be assumed to inherit automatically.

6 India: Go-to-market and channel

Sequence: retrofit → government → OEM line-fit → Phase-3 software.

First (now): 5t retrofit. The Shravan-T1-funded 2-truck, 90-day Smart Mirror demo program ● PLAN is the proof asset; the 100-unit DGS001 pipeline (§4) bridges cash. Every contract carries a data-rights clause (edge-case harvest, model-improvement license) — the data moat is real only if contractually secured.

Second: government/PSU/defence (§3 Customer 2); the GeM record ● CONTRACTED opens doors.

Third — the mandate channel, reframed as upside, not a committed date. OEM/Tier-1 design-in is relationship-gated: comparable regulation-created hardware markets (EU tachograph, eCall) show mandate volume normally flows to whichever supplier already has OEM relationships and homologation experience, not the cheapest new entrant — those incumbents typically absorbed aftermarket share within ~18 months once line-fit normalized ● EXTERNAL REFERENCE. This plan therefore pursues OEM/Tier-1 engagement opportunistically from month one (a) AIS-162/188 certification (T2-funded, §9) ● PLAN, (b) retrofit field-hours and Indian-road data as validation, (c) the T2 milestone clock (§9) — but does **not** treat a signed design-in as a required, dated event the way §8's revenue trajectory implicitly assumes. The pitch leads with capability, not price: owning perception + compute + model on Jiyu's <100 ms ASIL-D EHB lets us certify a **single photon-to-brake latency number** no mix-and-match integration can produce — but that pitch needs an actual OEM contact, which this plan does not yet have (§10 risk 10).

Phase-3 expansion: yard-owning retrofit logos convert to driverless pilots under the same single-signer structure — acceptance criteria as moves/day and incidents — then multi-year PVPM contracts; a reusable site playbook cheapens each successive deployment.

Channel economics, promoted from footnote to primary near-term engine. Government/defence (§3 Customer 2) and insurer-co-funded retrofit are the two revenue lines that do **not** depend on the AIS-certification clock, the ASIC-tapeout clock, or an OEM relationship DeepGrid does not yet have — they should therefore carry FY27–FY28 revenue, not the OEM channel above. Insurer co-funding works like fleet UBI/telematics programs elsewhere: an insurer subsidizes part of the kit cost against a premium discount priced off the ADAS telemetry stream, cutting effective retrofit CAC ● ASSUMPTION and giving DeepGrid a second paying customer for the same install. Brogen and Jiyu need a perception supplier and don't build one — no channel conflict.

Fast case vs. slow case. The plan as financially modeled (§8) is a fast case: certification, tapeout and first OEM engagement all land inside 12–18 months. Comparable mandate-driven hardware markets have historically taken 3–5 years to move from mandate announcement to stable incumbent share [● EXTERNAL REFERENCE](#) . In the slow case, FY27–FY29 revenue rests almost entirely on government/defence and insurer-co-funded retrofit (this section) while certification and OEM engagement continue in the background with no committed date — the fast case is upside, not the base the company should be funded against.

The three phases are the spine of this plan, so they are set out as a matrix rather than described in prose. Read Figure 8 as the answer to four questions per phase: who we sell to, through whom, at what price, and what has to be true before the next phase opens.

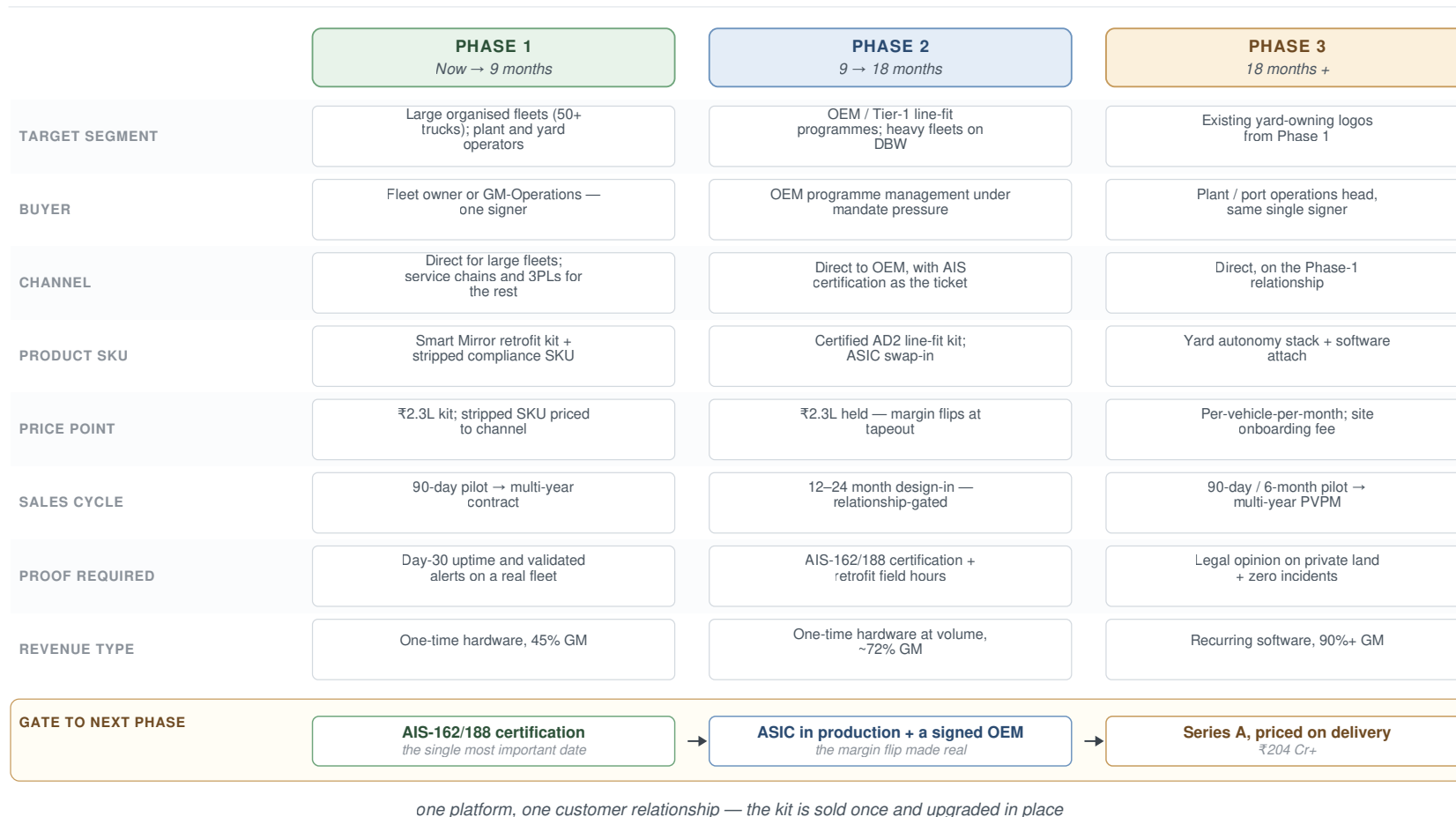
GO-TO-MARKET DIAGRAM
The Motion, Phase by Phase
who we sell to, through whom, at what price, and what unlocks the next phase


FIG 8

Fig. 8 — The go-to-market motion, phase by phase. Each column is a phase; each row is a decision that differs between them. The gate row is the important one — the phases are sequential because each is unlocked by a specific, dateable event, not because time passes. Sales-cycle and price figures are **● PLAN** or **● ASSUMPTION** per \$5.

The same three phases as a commitment table

What we are actually committing to in each phase, and what would tell us a phase has failed:

PHASE	WHAT WE COMMIT TO DELIVER	REVENUE	HOW WE WOULD KNOW IT FAILED
1	Kits on real trucks in organised fleets and plant yards; a validated day-30 uptime number; data-rights clauses in every contract; AIS certification programme running	one-time hardware, 45% GM	Pilots that do not convert to multi-year contracts, or day-30 uptime we are unwilling to publish
2	AIS-162/188 certification held, not claimed; ASIC in production; at least one OEM or Tier-1 evaluation converted	one-time hardware, ~72% GM	Certification slips past month 18, or design-ins go to an incumbent Tier-1 (§10 risk 2)
3	A legal opinion on private-land operation; one yard running; per-vehicle-per-month contracts with availability SLAs	recurring, 90%+ GM	Supervision ratio worse than 1:2, or any incident (§10 risk 7)

How a kit physically reaches a truck

The channel analysis above answers who sells; Figure 9 answers who fits, who pays, who takes margin, and what returns to us. The dashed line is the part that compounds — and the part that only exists if the contract secures it.

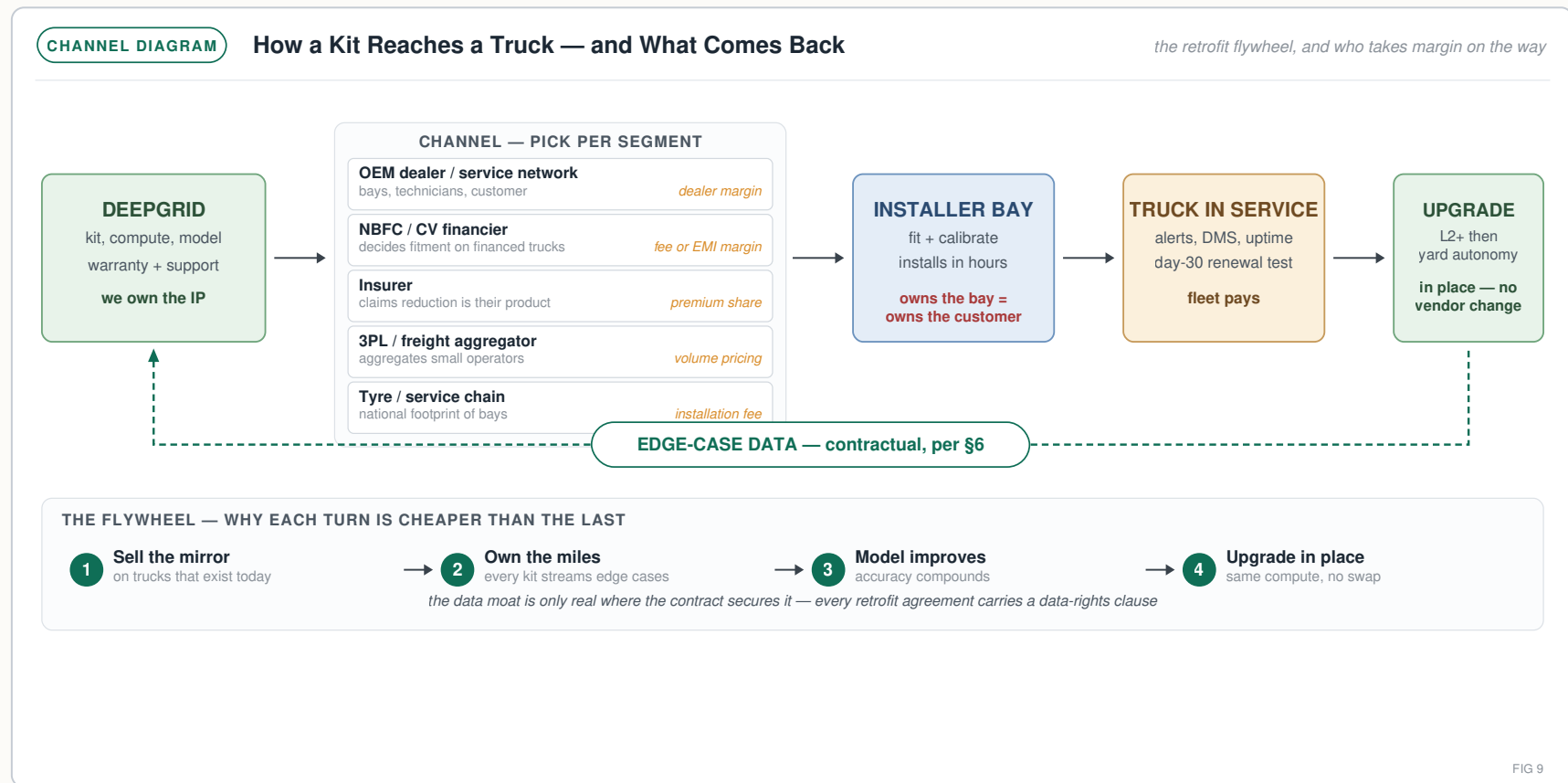


Fig. 9 — How a kit reaches a truck, and what comes back. Left to right is the physical and commercial path; the dashed return path is the edge-case data that improves the model and is the basis of the moat in §7. Margin taken at each step is **● ASSUMPTION** until channel terms are agreed. The red annotation is the uncomfortable one: whoever owns the installation bay owns the customer relationship, which is why data rights have to be contractual rather than assumed.

Channel architecture — who actually reaches 4,000 kits a month

This plan previously had no distribution or installation mechanism, which is the most common way an Indian hardware business fails. We are not going to build a national direct sales force or a workshop network, so the channel is the strategy:

CHANNEL	WHY THEY CARRY US	WHAT THEY TAKE	WHAT WE MUST GIVE THEM
OEM dealer and service networks	they already have the bays, the technicians and the customer	dealer margin ● ASSUMPTION	a fitment-ready kit and training
NBFCs and CV financiers	they decide what gets fitted on a financed truck, and a safer truck is a better loan	a fee or bundled EMI margin ● ASSUMPTION	a residual-value and claims argument
Insurers	a claims-reduction argument is their product, not just ours	premium share or co-funded pilots ● ASSUMPTION	telemetry, and evidence that claims fall
3PLs and freight aggregators	they aggregate small operators into a single contract	volume pricing	fleet-level dashboards and compliance reporting
Tyre / lubricant / service chains	national footprint of bays already visited by every truck	installation fee	a kit installable in hours by a trained technician
Direct	only for large organised fleets, PSU/defence and yard operators	—	a pilot and an SLA

The installation and service question, stated as an open cost. Every kit needs fitting, calibration and support for years. We do not own a single workshop bay, and at 4,000 kits a month we would need hundreds. **Whoever owns the bay owns the customer relationship** — so channel selection is also a decision about how much of the customer we keep. This plan's position: accept partner-owned installation to reach scale, but keep the data rights contractually (§6 above) so the model improves even where the relationship is shared. The cost of installer training and a spares/repair network is **not yet modelled** ● ASSUMPTION and belongs in the Series-A model alongside working capital (§5).

A second SKU for the fragmented base

The organised segment in §3 does not get us to 49,000 kits a year on its own, and the fragmented base will not pay ₹2.3L. The honest options are three, and this plan commits to the third:

OPTION	VERDICT
Sell the ₹2.3L kit to everyone	Rejected. The price does not survive contact with a sub-five-truck operator
Ignore the fragmented base entirely	Viable, but caps us at the organised segment and makes the FY32 number depend almost entirely on OEM line-fit
A stripped compliance SKU — fewer sensors, our compute, priced against the box a small operator already knows, sold only through the channels above	Adopted as a design target ● PLAN . Price point to be set from channel feedback, not from our cost-plus ● ASSUMPTION

Beyond the kit: the owned-fleet rental option

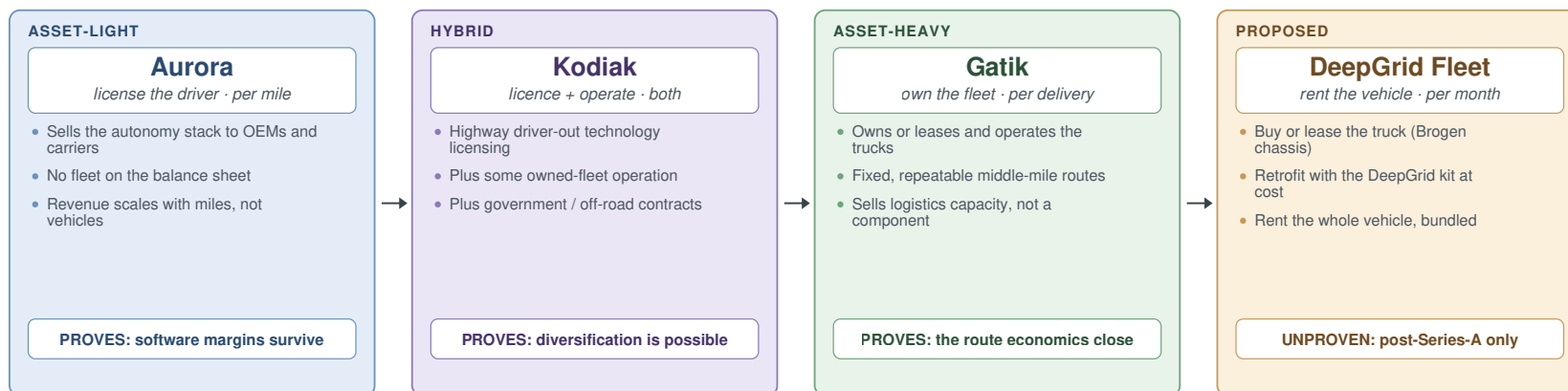
Every channel above sells the box or licenses the brain — DeepGrid never touches the truck's ownership. That is one of three business models global autonomous trucking has already proven out, and the other two both involve **owning or operating the vehicle**:

● EXTERNAL REFERENCE Aurora Innovation licenses the "Aurora Driver" compute-and-software stack to OEMs and carriers per mile — asset-light, closest to DeepGrid's current model; Gatik owns or leases and directly operates a fleet of box trucks running fixed, repeatable middle-mile retail routes — asset-heavy, selling delivery capacity, not a component; Kodiak Robotics blends highway driver-out technology licensing with government/off-road contracts and some owned-fleet operation — a hybrid. These are widely reported industry structures, not figures from DeepGrid's own materials, and are not independently verified in this pass.

BUSINESS MODEL DIAGRAM

Owning the Asset: Three Models, One Choice

license the brain, own the fleet, or both



WHY DEEPGRID FLEET STAYS OUTSIDE THE FUNDED PLAN

A five-person team funding one tapeout cannot also carry fleet balance-sheet risk: financing, residual value and idle-asset burn are risks a component sale never carries.

Recommendation: a separate post-Series-A SPV with a dedicated NBFC / leasing partner, decoupled from the ₹45 Cr silicon-and-certification raise.

Pilot 2–5 trucks at an existing retrofit customer's private yard, where no driver-out legal gate applies and utilization is contractually pre-committed before any capex.

FLEET UNIT ECONOMICS (ILLUSTRATIVE — ASSUMPTION, NOT A COMMITTED PLAN)

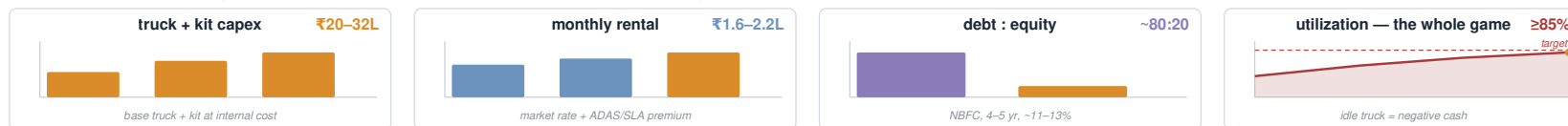


FIG 3

Fig. 3 — Owning the asset. Three externally-referenced industry models against the proposed DeepGrid Fleet expansion. Economics for the proposed column are in the table below; every figure there is an assumption, not a committed plan.

The proposal: DeepGrid buys or leases a 5t/22t truck (potentially the Brogen chassis from the partner relationship in §6), retrofits it with the DeepGrid kit at internal cost, and rents the completed vehicle — hardware, autonomy and software bundled — to shippers or fleet operators on a monthly or per-km basis, functionally a Gatik-style move layered onto the existing kit. Illustrative unit economics, **none of it in the grounding material — every figure below is** ● ASSUMPTION, **order-of-magnitude only, for a Series-A-stage board conversation, not a committed plan:**

LINE ITEM	ILLUSTRATIVE VALUE	NOTE
Truck + kit capex, all-in	₹20–32L	base 5t/22t truck ₹18–30L + DeepGrid kit at cost ● ASSUMPTION
Financing structure	~80:20 debt:equity	NBFC/CV-leasing partner, 4–5 yr tenure, ~11–13% ● ASSUMPTION, INDIAN CV-FINANCE MARKET NORMS
Monthly rental, with driver	₹1.6–2.2L	market fleet-rental rate + premium for ADAS/uptime SLA ● ASSUMPTION
Monthly opex	EMI + driver + maintenance + insurance + connectivity	driver cost drops out only where driver-out is legal (private land, §2) ● ASSUMPTION
Central risk	utilization	an idle truck is negative cash every month — unlike a one-time kit sale, this line never stops needing management ● ASSUMPTION

Why this stays outside the funded plan. §11's covenant is "no owned or operated vehicle fleets" for exactly the execution-fit reason the judge panel weighted most heavily against asset-heavy archetypes: a 5-person team funding one tapeout cannot also carry fleet balance-sheet risk. **Correction against the model:** Business Plan v2.2 already books AD3 Autonomous TaaS from FY2028 (₹3.3 Cr rising to ₹66 Cr on 100 vehicles by FY32), so fleet rental is *inside* the plan, not outside it. What this section still recommends is that it be financed **through a separate vehicle rather than off the core raise** — a separate SPV with a dedicated NBFC/leasing partner, decoupled from the ₹45 Cr silicon-and-certification raise (§9) — piloted first with 2–5 trucks at an existing retrofit logo's private yard (§3 Customer 4), where no driver-out legal gate applies and utilization is contractually pre-committed before the first rupee of capex is spent. It is upside optionality, not a revision to the core plan's asset-light DNA.

7 India: Competition and moat

VENDOR / KIT	PRICE	INDIA-NATIVE	AIS-CERTIFIED (INDIA)
DeepGrid AD2	₹2.0–2.5L	Yes	Path, not held
Mobileye EyeQ6	₹6.5L	No	Not yet ● ASSUMPTION
Continental / Bosch	₹10.0L	No	Not yet ● ASSUMPTION
Qualcomm SA8295	₹12.5L	No	Not yet ● ASSUMPTION
Nvidia Orin	₹15.0L	No	Not yet ● ASSUMPTION

Prices per company deck ● PLAN , not independently benchmarked; the deck's "3–7×" framing overstates both endpoints — this plan uses ~2.8–6.5×.

The competitor this table was missing

The comparison above is against imported premium kits, and it flatters us. The device that actually wins Indian mandate volume is at the other end of the market, and leaving it out would be the single easiest thing for an investor to catch:

THE LOW-END REALITY	PRICE	WHY IT MATTERS
AIS-140 VLTD / GPS devices in market today	₹4,500–11,000 ● SOURCED	This is the price anchor an Indian fleet buyer already carries for a <i>mandated</i> box
“AIS-compliant” camera + basic ADAS boxes	₹15,000–40,000 ● ASSUMPTION	Good enough to satisfy an inspector where enforcement is transitional (\$2)
DeepGrid AD2 kit	₹2.3L	Roughly 20× the anchor, and 5–15× the cheap ADAS box
Where the value migrated in that market	—	From hardware to platform and SaaS stickiness ● SOURCED — the same migration we should expect here

The uncomfortable reading, kept in deliberately. Against imports we are three times cheaper. **Against the device that actually wins mandated volume in India we are twenty times more expensive.** Both statements are true, and a serious investor will find the second one. Our answer has to be that we are not selling into the same job: a ₹5,000 box satisfies an inspector, while our kit is what an OEM can put on a production line and a fleet can build a safety case on. That answer only holds if (a) enforcement eventually becomes real, (b) we win OEM line-fit, and (c) we field a stripped SKU for the segment that only wants compliance (§6). **If none of those three lands, the low end takes the mandate and we are left with the organised segment alone.**

Moat, in order of durability:

1. **Structural price floor:** owned silicon at <\$3–4/bare die (₹1,750 packaged, \$5) makes the ₹2.3L price ours to hold; importers cannot follow down without destroying their own margin stack.
2. **Certification + sovereignty:** claimed only-indigenous AIS-validated chipset, AIS-004 native, 15 patents filed; foreign silicon excluded from government/defence fleets (§2). *Certification is a path, not held — the killer risk, §10.*
3. **Data moat that compounds — narrower than it sounds.** D-Drive trained on Indian roads (cattle, autos, unmarked lanes, fog, no HD maps); the retrofit flywheel — sell the mirror, own the miles, upgrade in place — widens the gap with every kit (contractual per §6). *Honest caveat:* Continental and Bosch both already manufacture in India with decades of India-specific automotive-electronics experience [● EXTERNAL REFERENCE](#) — "foreign silicon can't localize" does not hold for these two named competitors the way it holds for a pure importer with no India footprint; the defensible claim is narrower: they have not yet built an *India-trained perception model at this price point*, not that they structurally cannot.
4. **The photon-to-brake artifact (§6):** one certifiable end-to-end latency number no bolt-together integration can reproduce.

The real clock on this moat [● ASSUMPTION](#) : because Bosch and Continental already have India manufacturing and AIS relationships, the window in which DeepGrid is the only India-priced, India-trained option is open only until one of them decides this niche is worth a product line — plausibly a matter of quarters, not the 12–24 months this plan's timeline implicitly assumes. See risk 10, §10.

8 Financial plan FY27–FY32

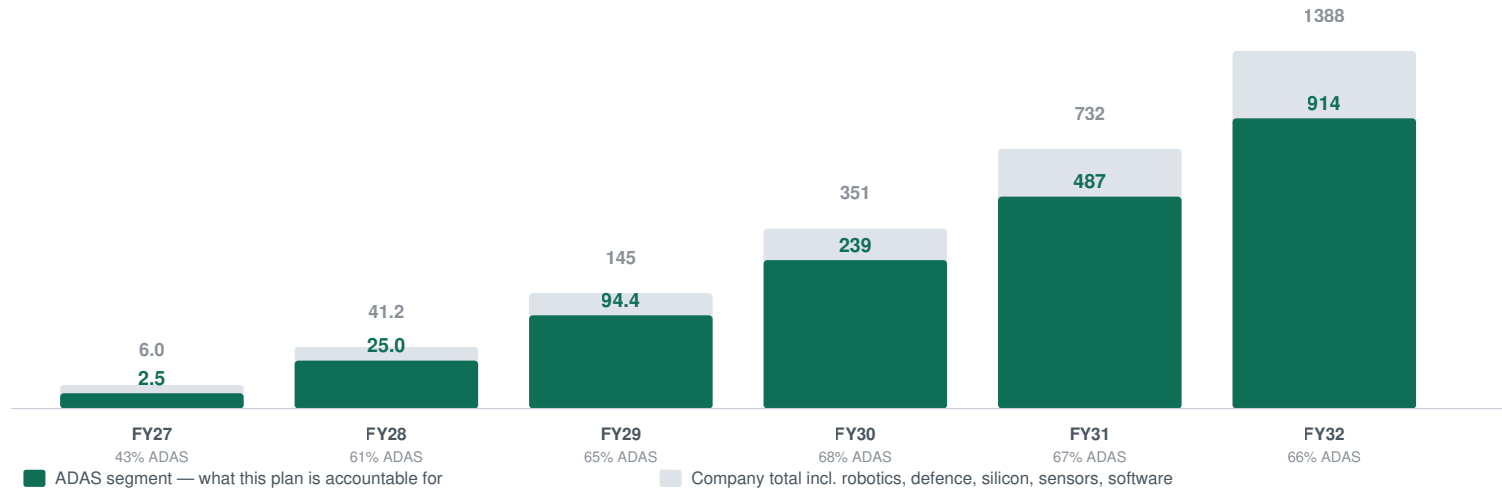
This section was rebuilt against the working financial model (Business Plan v2.2), and the numbers changed. The earlier version of this plan used a ₹1,128 Cr FY32 figure taken from the June 2026 Information Memorandum and treated the ₹1,388 Cr four-line figure as unplanned upside. That was backwards: **₹1,387.95 Cr is the model's bottom-up build**, and ₹1,128 Cr is the older deck number. Every figure below now traces to the model, and the ADAS trajectory is shown separately from the lines that are not ADAS.

The ADAS business on its own

This plan is about trucking, so the trajectory that matters is the ADAS segment rather than the company total. ADAS here means on-road truck ADAS, the smart mirror, fleet rental, and private-land yard and port autonomy — the three phases in Figure 8:

FY	ADAS REVENUE	COMPANY TOTAL	ADAS SHARE	PHASE
FY27	₹2.55 Cr	₹6.00 Cr	43%	FPGA kits, pilots
FY28	₹24.96 Cr	₹41.17 Cr	61%	Retrofit scaling; cert programme
FY29	₹94.36 Cr	₹145 Cr	65%	ASIC kits; line-fit ramping
FY30	₹239 Cr	₹351 Cr	68%	Line-fit accelerating
FY31	₹487 Cr	₹732 Cr	67%	Line-fit at volume + attach
FY32	₹914 Cr	₹1,388 Cr	66%	At scale + Phase-3 recurring

The ADAS segment reaches ₹914 Cr at FY32, which is 66% of the company. That is the number this document is accountable for. Quoting ₹1,388 Cr in a trucking plan would be claiming credit for robotics, defence and merchant silicon revenue that has nothing to do with the mandate.



ADAS reaches ₹914 Cr at FY32 — 66% of the company. Bars on a sqrt scale so early years stay legible.

FIG 4

Fig. 4 — ADAS revenue vs company total, FY27–FY32. Teal is the ADAS segment this plan is accountable for; grey is the company total including robotics, defence, merchant silicon, sensor modules and software. Rebuilt from Business Plan v2.2 — the previous version of this figure showed a single ₹1,128 Cr trajectory that conflated the two.

What sits inside the ADAS number

ADAS PRODUCT LINE	FY27	FY32	UNITS FY32	ASP	COMMERCIAL MODEL
AD2 Truck ADAS kit (compute + SW + sensors)	₹2.50 Cr	₹450 Cr	18,000	₹2.50L	product sale
AD0 Smart Mirror (360)	₹0.05 Cr	₹270 Cr	54,000	₹0.50L	product sale
AD4 Heavy Transport AGV >5T	—	₹105 Cr	30	₹3.50 Cr	product sale, private land
AD3 Autonomous TaaS (fleet rental)	—	₹66 Cr	100	₹0.66 Cr/yr	rental / TaaS, from FY28
AD4 Seaport AGV	—	₹22.65 Cr	50	₹0.45 Cr	product sale, private land
ADAS total	₹2.55 Cr	₹913.65 Cr	—	—	—

Two corrections worth stating plainly. First, the truck-kit volume is **18,000 units at FY32, not the ~49,000 this plan previously implied** — the old figure came from dividing total company revenue by kit ASP, which wrongly attributed robotics and silicon revenue to kits. 18,000 kits is 0.36% of the mandated base, which makes the plan *more* credible, not less. Second, the model prices the kit at **₹2.50L held flat across all six years**, not ₹2.3L — so the ASP-erosion exposure flagged below is a real assumption in the model, not a hypothetical.

The lines that are not ADAS

These share the tapeout and the platform, not the go-to-market. They are listed here so the ADAS number above can be read cleanly, and because each is a separate commercial motion with its own buyer:

INDEPENDENT LINE	FY27	FY32	SHARE FY32
Silicon & compute — three dies (DGrid, S100 SDV, R100 radar) + A100 compute boxes	₹0.00 Cr	₹165 Cr	11.9%

INDEPENDENT LINE	FY27	FY32	SHARE FY32
Robotics — indoor autonomy, AMR, agricultural, airport, utility, delivery, general L4 AUGV	₹1.57 Cr	₹158 Cr	11.3%
Defence — Defence AUGV, D-HUMR, D100 drone SoC kit	₹1.50 Cr	₹68 Cr	4.9%
Software — DGrid AI licence (SaaS)	₹0.00 Cr	₹50 Cr	3.6%
Sensors — 4D radar pod, thermal camera, H100 DMS as standalone modules	₹0.38 Cr	₹34 Cr	2.4%
Non-ADAS subtotal	₹3.45 Cr	₹474 Cr	34.2%
Company total	₹6.00 Cr	₹1388 Cr	100%

The strategic claim behind this table is the one from the platform thesis: **one 28 nm tapeout serves all six lines**. That is why overheads are shared and why segment-level EBITDA would be an arbitrary allocation rather than a measurement — so profitability is reported at company level below, not per segment.

Company profitability — the model has the whole series

An earlier version of this section said intermediate-year EBITDA and the breakeven year were “unknown, not invented.” That was wrong: the model carries both, and they are stronger than the placeholder was:

METRIC	FY27	FY28	FY29	FY30	FY31	FY32
Revenue	₹6.00 Cr	₹41.17 Cr	₹145 Cr	₹351 Cr	₹732 Cr	₹1,388 Cr
Gross margin	53.4%	73.8%	79.2%	82.4%	85.4%	88.4%
EBITDA	₹-1.80 Cr	₹2.59 Cr	₹29.73 Cr	₹96.49 Cr	₹240.91 Cr	₹536.63 Cr
EBITDA margin	-30.0%	6.3%	20.5%	27.5%	32.9%	38.7%
Net income	₹-2.29 Cr	₹-0.67 Cr	₹19.85 Cr	₹66.82 Cr	₹169.43 Cr	₹381.37 Cr

Three things this changes. EBITDA breakeven is FY2028 at +₹2.59 Cr, and net income turns positive in FY2029 at +₹19.85 Cr — the plan reaches profitability one year after the raise, not at some unstated future point. Gross margin runs **53.4% → 88.4%**, so the 88% figure is the model’s planned blended margin rather than an aspiration, though it remains a blend and not a kit-level number (§5). And **FY32 EBITDA margin is 38.7%, not the 43% quoted in the June 2026 Information Memorandum** — the lower figure is the one to use.

The assumption the model rests on, unchanged from the earlier warning. Every ASP in the Revenue Master is held flat from FY27 to FY32 — the truck kit at ₹2.50L, the smart mirror at ₹0.50L, the dies at their launch prices. Indian mandate-created hardware markets have historically eroded ASP faster than COGS (§7). **A Series-A model needs an erosion case: at 8–12% annual ASP decline from FY29** ● ASSUMPTION **the FY32 ADAS line would fall materially below ₹914 Cr even with volumes held.** That sensitivity is the single most valuable thing to add to v2.2 before this goes to an institutional investor.

9 Funding and milestones

Round terms as a table, because the two prices in this round are the first thing a diligence reader checks:

SOURCE / USE	AMOUNT	NOTE
Sources		—
Pre-Series A equity	₹45 Cr (\$4.79M)	18.07% of the company; funds the tapeout ● PLAN
CGTMSE-backed term loan	₹10 Cr (\$1.06M)	collateral-free MSME debt, non-dilutive; funds working capital ● PLAN
Total sources	₹55 Cr (\$5.85M)	at ₹94/USD per the model
Uses		—
SoC2 tapeout NRE + IP	₹29.80 Cr (\$3.17M)	54.2% of the total — phased MPW blocks → full die → dedicated mask
Engineering (chip + firmware + defence)	₹9.02 Cr	core platform R&D

SOURCE / USE	AMOUNT	NOTE
AIS-162/188 certification + FPGA pilot	₹4.51 Cr	mandate compliance and pilots
Working capital / BD / inventory	₹11.66 Cr	field units and the L4+ stack
Total uses	₹54.99 Cr	sources and uses balance

Corrections to the previous version of this table. The tapeout is **₹29.80 Cr / \$3.17M**, not the ₹20 Cr / \$2.42M carried from the older deck — it is the single largest use of funds at 54% of the raise. The raise is **₹55 Cr, not ₹45 Cr**: a ₹10 Cr CGTMSE-backed loan funds working capital and was previously missing from this plan entirely. And the exchange rate is **₹94/USD**, which makes ₹45 Cr equal \$4.79M rather than the “\$5.4M” previously stated. Sources and uses now balance at ₹55 Cr, so the earlier “closes only at the low end, zero buffer” conclusion no longer applies — though it is worth noting that **₹10 Cr of the ₹55 Cr is debt that has to be serviced.**

The tranches are not the round: the production tapeout is funded from the ₹45 Cr, not from the carve-out. Uses of funds:

USE OF FUNDS	ESTIMATE	NOTE
28nm tapeout NRE (\$2.42M)	≈₹20 Cr	~45% of round ● PLAN NRE ● FX — the single capital gate
AIS-162/188 certification	₹5–8 Cr	● NOT IN GROUNDING
Retrofit pilot fleet + first Phase-3 site	₹3–5 Cr	● ASSUMPTION
~24 months opex (₹4–6 Cr/yr)	₹8–12 Cr	● ASSUMPTION
Sum	₹36–45 Cr	closes only at low-to-mid end, zero buffer at top ● ASSUMPTION ARITHMETIC



Fig. 5 — Funding tranches against milestones. T1 already funded the demo program; T2 is gated on 2-of-3 conversions (fleet deal, enterprise MoU, OEM evaluation) by month 12, with clawback if fewer land. AIS certification and ASIC silicon are the two dates the rest of the plan depends on.

Runway ~24–30 months: one slip absorbable on the OEM-evaluation milestone *or* the tapeout, not both. Series A — "priced on delivery" of the milestones below ● PLAN — must close on certification-plus-OEM-evaluation *evidence*, not line-fit revenue, before the \$5 working-capital gap bites.

Team. Founder/CEO Aravind Prasad G (20+ yrs; Evolgence IT 2004–17, Deepgrid Datacentre 2018–; Stanford SDRM) carries the procurement record behind the contracted defence revenue; CTO Ayaz Khan (DGrid Alpha SoC architect, 15-patent architecture; M.Sc. Physics, IIT Gandhinagar) owns the silicon; Prashant Sadanand leads marketing — ~5 people ● PLAN. Advisors Venkat Simhadri (ex-CEO MosChip) and Jangi Reddy N (SmartSoC, spec → GDS-II) have shipped Indian silicon; Dr. M.V. Kartikeyan (IIT Tirupati), Prof. C. Krishna Mohan (IIT Hyderabad) and the T-Hub/IIT-H TiHAN ecosystem sit behind them. Cap table pre-round: founders 96.6%, angels 3.4% — clean. The round scales to 10 RTL → GDS engineers for 18 months. Named gap: no automotive-OEM BD hire yet — gated to the first OEM evaluation ● ASSUMPTION.

Why the \$1M comes in one tranche, not two

The earlier design split the strategic entry into two \$500K tranches, with the second released on milestones. We have changed that: **the full \$1M is taken in a single allotment at ₹112 Cr, and the milestones move from gating the *money* to gating the *equity*.** The reason is not preference — it is that the two-tranche structure is very likely unexecutable by the time the second tranche falls due.

WHY A SECOND TRANCHE LATER FAILS	CONSEQUENCE
Fair value will have risen. The whole point of this round is first silicon and AIS certification; the plan itself expects value moving toward the ₹272.04 Cr DCF as delivery lands	A ₹112 Cr price 9–12 months later is no longer a discount to a ₹204 Cr round — it is a much deeper discount to a much higher number, and it has to be defended to the board, the valuer, the placement agent and every future investor
FEMA Rule 21 (NDI Rules 2019) prohibits issuing to a non-resident below certified fair value , with penalties up to 3× the transaction value ● SOURCED	If the investor is non-resident and fresh fair value exceeds ₹11,101 per share, Tranche 2 cannot lawfully be issued at that price at all — the window closes by operation of law, not by negotiation
The valuation certificate must be proximate — allotment within 90 days of the certificate, and AD banks in practice expect no more than about six months ● SOURCED	A second tranche needs a <i>fresh</i> valuation at the then-current value. There is no mechanism to carry today's price forward

WHY A SECOND TRANCHE LATER FAILS	CONSEQUENCE
Clawback against a non-resident is messy. Share buyback or transfer at a pre-agreed price runs into FEMA transfer-pricing constraints	The clawback we were relying on as the enforcement lever is the weakest part of the old structure, not the strongest

What replaces the tranche gate. The instrument is **CCPS with a milestone-linked conversion ratio**. The investor funds \$1M now and is fully invested; how many equity shares the CCPS converts into flexes with the agreed growth milestones. CCPS expressly support performance-linked milestones and valuation-linked conversion ratios ● SOURCED, and because the money is received at a single certified price, the FEMA problem above never arises. **Economically it delivers what the clawback was meant to deliver — fewer shares on conversion is the same thing as a higher effective entry price — but it is executable, which the clawback may not be.**

Two things we accept in exchange, and should say plainly rather than discover later: the company gives up the discipline of withheld cash, and a conversion-ratio adjustment is contested at conversion rather than settled by simply not wiring money ● ASSUMPTION. In return we get the capital in full at the only price at which this entry is lawfully and defensibly available — **now** — and the certification and tapeout programme is funded without a gap in the middle of it.

Milestones — now expressed as conversion-ratio triggers rather than cash gates:

MILESTONE	DEADLINE	CONSEQUENCE IF MISSED
Fleet deal signed	month 9	counts toward the 2-of-3 conversion test
Enterprise / ISV MoU	month 12	counts toward the 2-of-3 conversion test
OEM evaluation entered	month 12	counts toward the 2-of-3 conversion test
Fewer than 2 of 3 by month 12	month 12	conversion ratio adjusts: fewer equity shares, higher effective entry price
AIS-162/188 certification	months 12–18	the design-in window closes (\$2, \$10) ● ASSUMPTION
ASIC first silicon	Q1–mid 2027	the 45% → 72% margin flip is delayed ● PLAN
Private-land legal opinion	before any pilot revenue	no Phase-3 revenue may be booked (\$11)

Entity hygiene. The only contracted revenue (₹1.01 Cr defence) sits in Deepgrid Datacentre Pvt Ltd and flows to Deepgrid Semi via an inter-company execution agreement; IP on the delivered contract is MCEME-owned (Clause 27); none of it is trucking/ADAS revenue. Disclosed upfront to every investor and OEM; restructured before Series A.

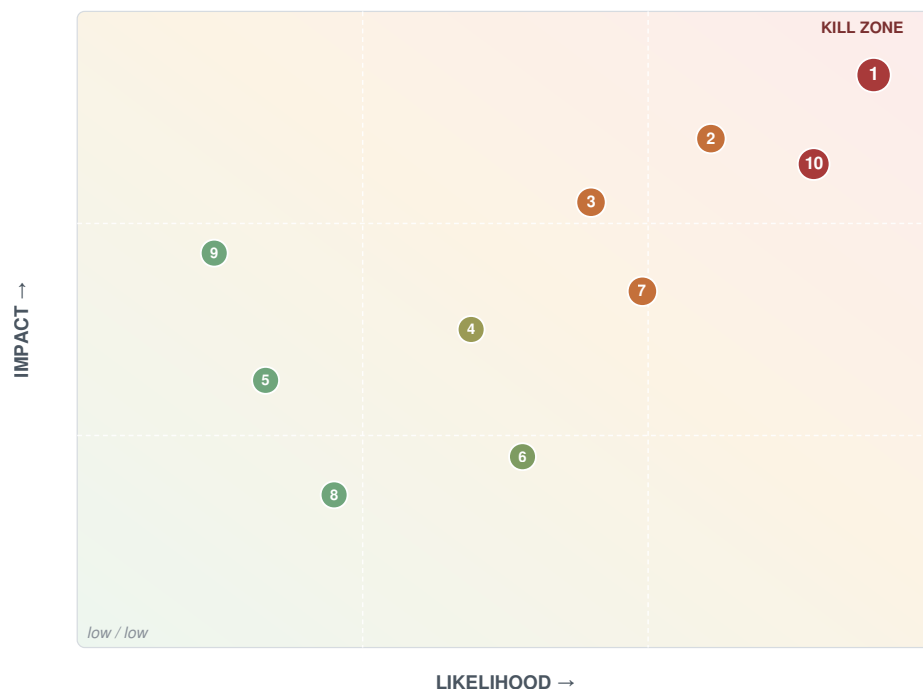
10 Risks and mitigations

India risks are below; US-specific risks (U1–U6) are held with their own market in B7 rather than mixed in here.

RISK DIAGRAM

Likelihood × Impact Map

10 named risks · qualitative board judgment, not a scored model



THE TEN RISKS

- 1 Certification claimed, not held
- 10 Incumbent fast-follow (Bosch/Continental India)
- 2 Mandate–channel mismatch
- 3 AD2 claim outruns the silicon
- 7 Phase-3 incident liability
- 4 Enforcement stays diluted
- 6 Field reliability at Indian duty cycle
- 8 ARPU collapse to telematics band
- 5 Entity / traction discounting
- 9 Asset-heavy expansion (if pursued)

KILLER

KILLER

WHAT THE MAP SAYS

Two risks sit in the kill zone, and both are clocks, not capabilities: whether we certify before an incumbent decides this niche is worth a product line.

FIG 6

Fig. 6 — Risk map. Positions are a qualitative judgment call for board discussion, not a scored methodology — 1 = certification not held (killer); 2 = mandate–channel mismatch; 3 = AD2 claim outruns silicon; 4 = enforcement dilution; 5 = entity/traction discounting; 6 = field reliability; 7 = Phase-3 incident liability; 8 = ARPU collapse; 9 = asset-heavy expansion (if pursued); 10 = incumbent fast-follow and enforcement-capacity risk, added on five-perspective review — placed alongside risk 1 as a second high-likelihood, high-impact point. Full text below.

1 • KILLER — certification is claimed, not held. AIS-162/188 is a path **● PLAN** ; if Bosch, Continental or Mobileye certify first **● ASSUMPTION** , the moat collapses to price alone against OEM-connected incumbents. *Mitigation:* cert is the #1 use of T2 funds; the government/defence channel (§2) is the hedge; every slip is priced per \$5.

#	RISK	CLASS	WHY IT BITES	MITIGATION
2	Mandate—channel mismatch	high	The mandate protects OEM line-fit, not our retrofit wedge; a five-person team with no signed OEM may watch mandate volume go to incumbent Tier-1s.	Retrofit revenue and field data de-risk the design-in pitch; photon-to-brake differentiates beyond price; the T2 clock forces engagement now.
3	AD2 claim outruns the silicon	high	Today's proof is AD0-class perception on FPGA; full AD2 needs the SoC2 ASIC behind one binary ₹20 Cr tapeout.	Sell FPGA-phase kits scoped honestly; Phase-3 is tapeout-decoupled. 28 nm feasibility signed off, six RTL designs tapeout-ready, 130 nm test die already fabbed ● PLAN .
7	Phase-3 incident liability	high	One incident can kill a contract and the credibility of the entire segment.	Geofenced pedestrian segregation, staged speed envelopes, bit-exact forensic replay, liability insurance as a priced COGS line.
4	Enforcement stays diluted	medium	If GSR 184(E) enforcement remains transitional, mandated volume never materialises — already partly realised (§2).	Retrofit, government and Phase-3 lines are all mandate-independent by construction.
6	Field reliability at Indian duty cycle	medium	Vibration, heat, dust, voltage transients. AIS-140 saw large-scale tamper and disconnect within a year ● EXTERNAL .	Warranty and service reserve inside COGS (§5); per-fleet failure tracking; DMS tamper SOPs and contract terms.
8	ARPU collapse to telematics band	medium	Software ARPU gravitates to the ₹3–5k/yr commodity band, compressing the recurring line 5–10×.	Compliance reporting and insurer integration — the two things a dashcam cannot sell; sensitivity carried in §5.
5	Entity / traction discounting	low	The only contracted revenue sits in a different legal entity from the one raising.	Plain disclosure upfront (§9); restructured before Series A.

#	RISK	CLASS	WHY IT BITES	MITIGATION
9	Asset-heavy expansion, if pursued	low	DeepGrid Fleet converts a semiconductor margin profile into a utilization-sensitive fleet-operator one.	Ring-fenced post-Series-A SPV with an NBFC partner; never funded from this raise; pre-committed utilization (§6).
11	Fragmented base and no channel	high	About 75–80% of Indian operators own fewer than five trucks and ~3.5M operators move most of the freight ● SOURCED . The FY32 plan needs ~4,000 kits a month, and we own no installation or service network.	Channel architecture in §6 — OEM dealers, NBFCs, insurers, 3PLs, service chains; addressable segment narrowed in §3; installer-training and spares cost added to the Series-A model.
12	ASP erosion and the low-end competitor	high	AIS-140 devices sell at ₹4,500–11,000 today into an extremely price-sensitive base, with value migrating to platform SaaS ● SOURCED . Our ₹2.3L is ~20× that anchor, and transitional enforcement rewards cheap compliance.	Compete on the OEM line-fit job rather than the inspector job (§7); field a stripped compliance SKU through channel (§6); attach the recurring software line early; carry an ASP-erosion case in the Series-A model (§8).

10 • NEW — incumbent fast-follow and enforcement-capacity risk. Continental and Bosch already manufacture in India with existing AIS relationships (§7); the window in which DeepGrid is the only India-priced, India-trained option closes the moment either decides this niche is worth a product line — plausibly within a few quarters, not the 12–24 months this plan's timeline assumes [● ASSUMPTION](#). Separately, "enforcement is transitional" (§2) is itself an assumption: Indian vehicle-safety mandate enforcement has historically tracked inspection-infrastructure capacity (ARAI/ICAT testing-agency throughput) as much as policy intent, and neither this plan nor its sources model that capacity directly [● NOT IN GROUNDING](#). *Mitigation:* treat OEM design-in as upside, not a dated milestone (§6); fund FY27–FY29 primarily from government/defence and insurer-co-funded retrofit, which do not depend on either clock; revisit competitive intelligence on Bosch/Continental's India ADAS roadmap each quarter as a standing board item.

11 KPIs and what we will not do

The operating dashboard. Every line is either already instrumented or must be before the metric is quoted externally:

KPI	TARGET	CADENCE
Kits shipped	per plan (\$8)	monthly
Kit gross margin by phase	45% → ~72%	monthly
Certification milestone vs plan	months 12–18	monthly — the #1 board metric
OEM evaluations entered	1 within 12 months	quarterly
Retrofit fleet deals signed	1 within 9 months	monthly
Per-vehicle CAC / payback / LTV-CAC	set at first fleet deal	quarterly
Day-30 field uptime	set at first pilot	monthly — the renewal driver (\$5)
Data-rights coverage of installed base	100% of new contracts	quarterly
Software ARPU vs commodity floor	above ₹3–5k/yr	quarterly
Phase-3 supervision ratio	better than 1:2	per site, monthly
Phase-3 incidents	zero	per site, continuous
Cash runway vs tapeout date	≥6 months buffer	monthly
Incumbent intel (Bosch / Continental India)	standing item	quarterly (\$10 risk 10)
Kits installed per active channel partner	set at first channel deal	monthly — the distribution metric (\$6)
Trained installers certified	to be set	monthly
Realised ASP vs ₹2.3L plan	≥90% of plan	quarterly — the erosion tripwire (\$8)

What we will NOT do before Series A — the focus covenant: no public-road driverless; no merchant silicon sales; no non-trucking verticals. A 5-person team funds exactly one tapeout and one vehicle program. We do not own or operate vehicle fleets **from this raise**, do not take vehicle-level integration as a business line, and do not book Phase-3 or DeepGrid Fleet (\$6) revenue before, respectively, the private-land legal opinion exists or a dedicated fleet-financing SPV is closed — both stay explicitly outside this plan's capital until each is separately funded.

S Sources for externally-referenced claims

Most figures in this plan come from DeepGrid’s own engineering and investor material and are labelled ● PLAN or ● ASSUMPTION. The claims labelled ● SOURCED are third-party and trace to the following, retrieved 4 August 2026:

FEMA pricing and CCPS structuring — Harchandani, *FEMA FDI pricing rules: Rule 21 compliance*: [harchandani.in](#) · Sapient, *RBI FEMA valuation rules 2026*: [sapient-services.com](#) · Beacon Filing, *FEMA share issuance pricing rules*: [beaconfiling.com](#) · Cyril Amarchand Mangaldas, *CCPS: an important instrument for startups and M&A structuring*: [corporate.cyrilmangaldas.com](#) · EquityList, *Guide to CCPS*: [equitylist.co](#)

Indian trucking market structure — Redseer, *Unlocking growth in India’s fragmented trucking sector*: [redseer.com](#) · Stellaris, *How organising small truck operators will reduce India’s logistics cost*: [stellarisvp.com](#) · Logistics Insider, *Why supporting small truck operators is key*: [logisticsinsider.in](#) · AITD, *Study on trucking operations in India*: [aitd.net.in](#)

AIS-140 device pricing and market commoditisation — Fleetx, *AIS 140 GPS device price in India (2026)*: [blog.fleetx.ai](#) · Fleetx, *What is AIS-140*: [blog.fleetx.io](#) · MarqStats, *India telematics and fleet safety systems market*: [marqstats.com](#) · IMARC, *India commercial telematics market*: [imarcgroup.com](#)

A Appendix — figure pack

Every diagram in this document collected in one place, for a diligence reader who wants the visuals without the prose. All are illustrative shapes drawn against stated or assumed targets (\$0), not independently measured, except where a figure’s own caption marks a component as ● MEASURED.

FIG.	TITLE	SECTION	TYPE
1	The Deployment Ladder	§4 Product ladder	3-phase business model diagram + 4 mini-panels
2	The Kit Cost Bridge, FPGA → ASIC	§5 Unit economics	Cost-bridge / waterfall diagram
3	Owning the Asset: Three Models, One Choice	§6 Go-to-market	4-column business model comparison
4	Revenue Trajectory, FY27–FY32	§8 Financial plan	Bar chart
5	Funding Tranches Against Milestones	§9 Funding	Timeline diagram

FIG.	TITLE	SECTION	TYPE
6	Likelihood × Impact Map	§10 Risks	Risk matrix

Deepgrid Semi Pvt Ltd · BP-1A (India) · Aug 2026 · Companion: BP-1B (United States). Sources: RapidRound investor deck, Shravan Siramdas strategic-entry proposal, IIT Madras Incubation deck, Project Pushpaka GTM deck (all Aug 2026). Converged via a 25-iteration autoresearch critique/revise/score loop over four competing business-model archetypes, then stress-tested against a five-perspective adversarial review. Evidence labels: measured / contracted / plan / assumption / external.